

We need to understand how the service that is to be provided and its due time. Also, we need to ensure that the company manages its resources to provide the service. As the expenses are made later, it is possible to use up all the advance money before that, which will leave them with little or no money to fulfill their obligation. This is a risk that the company encounters.

It is seen that for this company, the advances are not high, as a result, management of Advances received from customers is not a risk for the company. However, going back to the example of Amazon Prime, we see that they have to create content throughout the year and also provide free shipping, etc. Thus, expenses are incurred even 9-10 months down the line. **Thus the subscription amount received must be managed to service the customers in the later stage as well.**



Thus, if a company is taking advances, it must manage capital to meet the expenses later on.



Besides Advances from Customers, companies also have an - Order book. Order book is not directly reported in the Financial Statements but is reported in other sections by the company management. We need to keep a track on company's order books as well to understand revenue in foreseeable future. Some orders might also bring with them Advances from Customers.

In the next section, we will discuss prepaid and accrued expenses.